

KARNATAKA PUC 2018

Grade 12

Accountancy

Series: 30 (NS)

Time allowed: 3 hours 15 minutes

Maximum Marks: 100

SECTION - A

Answer any **seven** questions. Each question carries 2 mark:

[7 x 2 = 14]

- (1) State any two causes of Depreciation.
- (2) What is Partnership Deed?
- (3) What is Goodwill?
- (4) Write the journal entry to close Revolution account when there is profit.
- (5) What is Realisation account?
- (6) What do you mean by Issue of shares at premium?

- (7) Give the meaning of Interim Dividend.
- (8) List out any two techniques of Financial statement analysis.
- (9) Give any two examples of Non-profit organisation.
- (10) Mention any two types of information.

SECTION – B

Answer **any four** questions. Each question carries 5 marks:

[4 x 5= 20]

(11) Shiva and Shankar are partners in a firm. Shiva's drawings for the year 2016-17 are given as under.

- (a) Rs. 5,000 on 01-05-2016
- (b) Rs. 7,000 on 31-08-2016
- (c) Rs. 3,000 on 31-12-2016
- (d) Rs. 4,000 on 01-02-2017

Calculate interest on drawings at 12% p.a. for the year ending 31-03-2017 under product method.

(12) Ankit, Suchit and Chandru are partners in a firm sharing profits and losses in the ratio of 4:3:2. Ankit retires from the firm. Suchit and Chandru agreed to share in the ratio of 5:3 in future.

Calculate gain ratio of Suchit and Chandru.

(13) Raja, Rani and Mantri are partners sharing profits and losses in the ratio of 2:2:2. The Balance Sheet of the firm as on 31.03.2017 was as follows:

Balance Sheet as on 31.03.2017

Liabilities Rs. Assets Rs.

Creditors 40,000 Cash 20,000

Bills payable 20,000 Stock 40,000

Capitals: Debtors 90,000

Raja 1,00,000 Buildings 1,00,000

Rani 60,000 Plant and Machinery 10,000

Mantri 40,000

2,60,000 2,60,000

Raja died on 31.12.2017. His executors are entitled to the followings:

- (a) His capital on the date of his death.
- (b) His share of profit till the date of his death. Estimated profit for the current year is Rs. 80,000.
- (c) Interest on capital is allowed at 10% p.a.
- (d) His drawings till death amounted to Rs. 20,000
- (e) Salary of Raja is Rs. 1,000 per month

Prepare Raja's capital account.

(14) Jagadeesh Co. Ltd. issued 10,000 12% debentures for RS. 10 each at a premium of Rs. 2 payable as follows:

Rs. 2 on application

Rs. 5 on allotment (including premium) and balance on first and final call.

All the debentures were subscribed and money duly received.

Pass journal entries upto the stage of allotment money received.

(15) Calculate current ratio and quick ratio from the following information.

Stock	Rs. 1,00,000
Debtors	Rs. 80,000
Bills receivables	Rs. 20,000
Advance Tax	Rs. 8,000
Cash	Rs. 60,000
Creditors	Rs. 1,20,000
Bills payable	Rs. 80,000
Bank overdraft	Rs. 8,000

(16) From the following particulars of Srushti Library find out the opening Capital Fund as on 01.04.2017.

	Rs.
Buildings	1,00,000
Investments	25,000

Outstanding expenses	2,000
Library books	20,000
Furniture	7,000
Outstanding subscriptions	2,000
Rent receivable	1,000
Cash on hand	500
Cash at bank	4,500

(17) Explain the five qualities of information.

SECTION - C

Answer **any four** questions. Each question carries **14** marks:

[4 x 14 = 56]

(18) On 01.04.2014 Umesh purchased 'A' Machinery for Rs. 1,20,000. On 01.07.2014 'B' Machinery purchased for Rs. 80,000 On 31.12.2015 'A' Machine was sold for Rs. 84,000 and on 01.04.2016. 'C' Machine was purchased for Rs. 60,000 Depreciation was charged at 10% p.a. under fixed instalment method. The accounts are closed on 31st March every year.

Show Machinery account and Depreciation account for 3 years ending 31.03.2017.

(19) Sujata and Sanjota are partners sharing profits and losses in the ratio of 3:2. Their Balance Sheet as on 31.03.2016 was as follows:

Balance Sheet as on 31.3.2016

Liabilities	Rs.	Assets	Rs.
Creditors	1,00,000	Cash	40,000
Bills Payable	50,000	Stock	50,000
Reserve fund	50,000	Debtors	40,000
Capitals:		Furniture	40,000
Sujata	1,20,000	Machinery	80,000
Sanjota	<u>80,000</u>	Buildings	1,00,000
	2,00,000	Investments	40,000
		P&L Account	10,000
	<u>4,00,000</u>		<u>4,00,000</u>

On 01.04.2016 Sangeeta admitted into partnership on the following terms.

a) She brings in Rs. 60,000 a capital and Rs. 20,000 towards Good will for $\frac{1}{4}$ th share in future profits.

Goodwill amount is withdrawn by old partners

b) Depreciate Machinery and Furniture by 10%.

c) Provision for doubtful debts is maintained at 5% on debtors.

d) Appreciate Building by Rs. 22,000

e) Provide Rs. 2,000 for outstanding salaries.

f) Investments are to be revalued at Rs. 50,000

Prepare:

- Revaluation A/c
- Partners Capital A/c
- New Balance Sheet as on 1.4.2016.

(20) Rashmi and Rahul are partners sharing profits and losses in the ratio of 3:2. Their Balance sheet as on 31.03.2016 was as follows:

Balance Sheet as on 31.3.2016

Liabilities	Rs.	Assets	Rs.
Creditors	10,000	Cash	5,000
Bill payable	20,000	Investments	10,000
Rashmi's loan	10,000	Bills receivables	10,000
Reserve fund	10,000	Debtors	25,000
Capitals:		Stock	10,000
Rashmi	30,000	Machinery	10,000
Rahul	<u>20,000</u>	Furniture	10,000
	50,000	Buildings	<u>20,000</u>
	<u>1,00,000</u>		<u>1,00,000</u>

On the above date the firm was dissolved.

a) The assets were realised as follows:

Bills Receivables Rs. 7,500; Debtors and stock 10% less than book value; Machinery realised 5% more than book value; Buildings valued for Rs. 15,000.

b) Furniture and Investments were taken by Rashmi and Rahul at Rs. 5,000 each respectively.

c) Dissolution expenses were Rs. 1,000.

d) All the liabilities were discharged in full.

Prepare:

- i) Realisation Account
- ii) Partner's capital Account
- iii) Bank Account.

(21) Vijayalaxmi Sugar Co. Ltd. issued 10,000 equity shares of Rs. 10 each at a premium of Rs. 2 per share. The amount was payable as follows.

Rs. 2 on application

Rs. 5 on allotment (including premium)

Rs. 2 on first call and

Rs. 3 on Final call

All the shares were subscribed and money duly received except the final call on 500 shares. The directors forfeited these shares and re-issue them as fully paid up at Rs. 7 per share.

Pass necessary journal entries for issue, forfeiture and reissue of shares.

(22) From the following trial balance of Shobha Trading Co. Ltd. prepare Financial Statements for the year ending 31.3.2014.

Trial Balance

Sl. No.	Particulars	Dr. Rs.	Cr. Rs.
1.	Sale of goods	-	2,75,000
2.	Office rent	25,000	-
3.	Opening inventories	17,500	-
4.	Purchase of goods	85,000	-
5.	Furniture	92,500	-
6.	Trade payables	-	42,500
7.	Plant and Machinery	50,000	-

8. Trade receivables	80,000	-
9. Equity share capital [20,000 share of Rs. 10 each]	-	2,00,000
10. 10% Debentures	-	50,000
11. Interest on Debentures	5,000	-
12. Fixed Deposits [6 months term]	35,000	-
13. Staff welfare expenses	6,000	-
14. Surplus (Opening balance)	-	5,000
15. Cash in hand and at bank	31,500	-
16. Buildings	45,000	-
17. Rates and Taxes	12,500	-
18. Salaries	27,500	-
19. Goodwill	62,500	-
20. General Reserve	-	2,500
Total	5,75,000	5,75,000

Adjustments:

- Closing inventories Rs. 22,500
- Create provision for taxation at 30%
- Transfer to General Reserve Rs. 2,500
- Directors proposed dividend at 10%
- Provide depreciation on plant and machinery at 10% and building at 5% p.a.
- Calculate DDT at 16.995% on dividend.

(23) The following is the balance sheet of Sangolli Rayanna Co. Ltd. for the year 31.3.2015 and 31.3.2016. Prepare Comparative Balance Sheet.

Balance Sheets

Liabilities	31-3-15	31-3-16	Assets	31-3-15	31-3-16
	Rs.	Rs.		Rs.	Rs.

Equity share capital	3,00,000	6,00,000	Fixed Assets	5,00,000	10,00,000
10% Preference Share capital			Investments	2,00,000	2,50,000
Reserve fund	2,50,000	4,50,000	Inventory	2,25,000	3,25,000
P & L A/c	2,00,000	2,50,000	Trade Receivables	50,000	2,00,000
	1,00,000	1,50,000	Cash and cash equivalents	25,000	75,000
Long-term loans	1,00,000	2,50,000			
Trade payables	50,000	1,50,000			
	10,00,000	18,50,000		10,00,000	18,50,000

(24) The following is the Balance Sheet and Receipt and payment account of Anvita Education Society, Bangalore.

Balance Sheet as on 31.03.2016

Liabilities Rs. Assets Rs.

Capital fund	36,400	Cash in hand	2,050
Audit fees outstanding	2,500	Maps and Charts	1,600
5% Govt. Bonds	31,000		
Subscriptions Outstanding	1,000		
Furniture	3,250		
	<u>38,900</u>		<u>38,900</u>

Receipt and Payment account for the year ending 31.3.17

Dr.				Cr.
	Receipts	Rs.	Payments	Rs.
To Balance b/d		2,050	By Audit fees	2,500
To Subscriptions		20,500	By Rent	1,800
To Donations		2,500	By Maps and Charts	3,400
To Interest on Govt. bonds		850	By Stationery and Postage	250
			By Salary	8,000
			By Functions	1,050
			By Balance c/d	8,900
		<u>25,900</u>		<u>25,900</u>

Adjustments:

- a) Audit fees Rs. 2,500 still due.
- b) Charge Rs. 250 as depreciation on Furniture.
- c) Half of the donation is to be considered as revenue.
- d) Outstanding subscriptions Rs. 2,000 and subscriptions received in advance Rs. 1,500.
- e) Outstanding interest on Govt. Bonds R. 700

Prepare:

- i) Income and Expenditure Account and
- ii) Balance sheet as on 31.03.2017.

SECTION – D

(PRACTICAL ORIENTED QUESTIONS)

Answer **any two** questions. Each question carries **5** marks:

[2 x 5 = 10]

(25) How do you treat the followings in the absence of partnership deed?

- a) Interest on Capital
- b) Interest on Drawings
- c) Interest on Partner's Loan
- d) Distribution of profits or losses
- e) Salary to partners.

(26) Prepare Executor's Loan Account with imaginary figures showing the repayment of loan in two annual equal instalments along with interest.

(27) Classify the followings into capital and Revenue items.

- a) Honorarium paid
- b) Installation charges of new machinery
- c) Subscription to news papers
- d) Cost of purchases of new machinery
- e) Donation received for Building.